

Section #	Summary of Changes - VMC Correspondent Non-Agency Seller Guide Dated 04/21/2025
	Chapter 1 - Doing Business with Verus
1.5.3.2	Locking Loans: Any loan locked under Prime Ascent Plus may incur a price adjustment as it moves to the new program, refer to rate sheet.
1.6.1	Note and Security Instrument Forms: Updated Fannie Mae document criteria.
1.7.1.1.3	Eligibility Review - Appraisal: Update inspection requirements for FEMA declared disaster
1.8.1.2	Initial Collateral Document Delivery: Collateral delivery is due after the Seller receives notification from Verus that the documents are ready for shipment, clarified original allonge requirements.
1.8.1.2.1	CEMA Documentation: Clarified original consolidated Note and original gap Note signature requirements.
1.8.1.4	Fees: Added condition clearing fee requirements
1.8.2.7, 1.8.2.7.1	Property Insurance: Further updated to align with Fannie Mae requirements, clarified the policy expiration date must be at least 30 days beyond the Note date.
1.8.2.8	Commercial General Liability Insurance for 2-8 Mixed Use: Effective date of the policy must be on or before the Note date.
1.8.2.9, 1.8.2.9.2	Flood Insurance: Further updated to align with Fannie requirements, effective date of the policy must be on or before the Note date.
1.9.1.2	Servicing Transfer Contacts: Updated contact list
1.9.1.5.1	Servicer to Servicer Transfers - Escrow Responsibilities: Clarified escrow responsibilities for payment of taxes or insurance.
	Chapter 2 - First Lien Eligibility
2.1.4	Interest-Only Restrictions: Removed reference to Credit Ascent
2.1.5	Loan Amounts: Removed reference to Credit Ascent
2.1.6	Minimum Credit Score: Removed reference to Credit Ascent, reduced Prime Ascent minimum credit score to 620
2.3.1.3	Non-Permanent Resident Alien: Updated to include requirements for Temporary Protected Status per Announcement 2025-10, updated requirements for residents of Canada or Mexico.
2.3.2	ITIN: New section
2.3.3	Foreign National: Updated foreign national definition.
2.3.3.1	Foreign National - Residence Requirements: Removed option for residence in the U.S.
2.3.3.2	Foreign National - ACH Form: Updated required use of the Verus ACH Form to state Sellers are strongly encouraged to use the form.
2.3.3.3	Foreign National - Documentation Requirements: Added VISA criteria to verify borrower is in the U.S. legally, clarified Florida purchase affidavit requirements
2.3.3.4	Foreign National - Qualifying U.S. Credit: Updated U.S. credit criteria.
2.3.3.5	Foreign National - Housing History: Updated housing history requirements.
2.3.3.7.2	Foreign National - Assets Held In Foreign Accounts: Clarified that funds are to be transferred to closing agent prior to or on the Note date
2.3.7.2	Vesting for Business Purpose Loans: Personal guaranty must be provided by members/managers representing at least 25% cumulative ownership of the entity.
2.3.7.2.2	Entity Documentation Requirements - All Entities: Updated Certificate of Good Standing requirements for all entity types.
2.3.7.2.2	Entity Documentation Requirements - Corporation: Removed franchise tax requirement.
2.4.1.2	Rate/Term: Added requirements that at least one borrower must be on title to the subject property at time of initial application.
2.4.2	Listing Seasoning: For all refinances, value will be based on the lesser of the lowest list price in prior 12 months or appraised value
2.4.4	Interested Party Contributions: Updated from 3% to 6% for investment
2.4.7	Prepayment Penalty - Pennsylvania: For calendar year 2025, adjusted threshold to \$319,777
2.5.3.1	Fraud Report: Updated transaction participant requirements, added exclusionary list requirements
2.5.3.2.1	OFAC Search - Individuals: Updated transaction participant requirements
2.5.5	Housing History: For refinances, most recent 12-month housing payment history is required for all mortgages secured against the subject property.
2.5.5.1.2	Mortgages Not Reporting on Credit Report: Updated to allow credit supplement with 6 months proof of payments by the borrower
2.5.10	Forbearance, Modification, Deferrals: Added ITIN
2.5.12.1	Standard Tradelines: Added ITIN
2.6.2	Asset Documentation - Retirement: Terms of withdrawal not required for reserves
2.7.3	Residual Income: Added ITIN
2.7.5.4.14	Standard Doc - Rental Income: Clarified that if lease agreement is used then 25% vacancy factor must be applied, added short-term rental eligibility
2.7.5.4.23	Standard Doc - Variable Income: Clarified that variable income is to be calculated by using an averaging method consistent with the documentation provided
2.7.5.5	Standard Doc - AUS Findings: Added AUS Findings as an eligible doc type
2.7.6.2	Bank Statement Income - Large Deposits: Updated large deposit threshold from 50% to 100%
2.7.6.3	Bank Statement Income - NSF: Updated occurrence definition to any day in which one or more transactions are reversed or declined.
2.7.7	Alt Doc - Rental Income: Added short-term rental purchase criteria, increased allowable monthly rental income from 75% to 80% for refinance look-back requirements
2.7.10	Alt Doc - Written VOE: Added second home and investment occupancy, added ITIN
2.7.11.1	Alt Doc - Asset Utilization: Clarified that assets from non-occupant co-borrower not allowed
2.7.11.4	Alt Doc - Asset Utilization: Trustee statement or trust agreement can be provided to verify terms of the trust
2.8.1.2	First Time Investor: Updated first time investor definition, updated restrictions including minimum credit score 700, minimum DSCR > 1.00, 1-unit only
2.8.2.1.1	DSCR - Long Term Rental Documentation: Clarified that monthly gross rent is to be evaluated for each unit individually, updated refinance required documentation
2.8.2.1.2	DSCR - Short Term Rental Documentation: Updated the requirements for short-term rental analysis and 1007/1025.
2.8.2.4	DSCR Restrictions: Rural properties allowed, refer to matrix for acreage restrictions
2.8.3.1	DSCR 5-8 Residential and 2-8 Mixed Use Property: Remove debt yield of 9%
2.9.1.1.4	Appraisal Evaluation - Accessory Dwelling Units: Increased eligibility from one ADU to two ADUs, expanded upon ADU requirements, added short-term rental income options.
2.9.1.1.4	Appraisal Evaluation - Rural Property (new section): Rural property is allowed, follow matrices for program eligibility
2.9.1.7	Declining Markets: Added ITIN
2.9.2.2	Ineligible Properties: Added pad split and barn conversions, removed rural property
2.9.9	Disaster Areas: Added coastal erosion and landslide events, removed 120 day requirement
2.9.9.1, 2.9.9.3	Disaster Areas: Expanded upon inspection options

2.9.9.2	Appraisal Completed After Disaster Event: Removed requirement for appraiser to comment on the adverse event
2.9.10	Condominiums: Added CPM approval requirements, removed reference to FL condos, added detailed requirements for critical repairs, special assessments, and inspection reports.
2.9.10.1	Project Condition - Critical Repairs: Added new section
2.9.10.1.1	Special Assessments: Added new section
2.9.10.1.2	Inspection Reports: Added new section
2.9.10.4	Condotels: Refined condotel characteristics, gross rent requirement reduced from 20% to 10%, removed reference to FL condos
2.9.10.5	Ineligible Projects: Clarified projects with outstanding violations of jurisdictional requirements related to the safety, soundness, structural integrity, or habitability of the project's building(s) are ineligible
2.9.10.6.1	Master Property Insurance: Added Fannie language expanding upon replacement cost requirements
2.9.10.6.2	General Liability Insurance (new section): Added new section, mirroring Fannie
2.9.10.6.3	HO-6: Clarified HO-6 requirements, effective date of the policy must be on or before the Note date.
2.9.10.6.4	Master Flood Insurance: Updated to mirror Fannie including minimum building coverage requirements
Chapter 3 - Closed End Second	
3.3	Loan Amounts: Minimum loan amount reduced to \$50,000
3.8	Ineligible First Liens: Removed mortgages not reporting on credit report
3.11.1.1	Simultaneous Purchase: Clarified DU or LPA approval required for conforming loan balances.
3.11.5	Escrows - Impound Accounts: Escrows are not permitted on second lien programs.
3.12.5, 3.12.5.1, 3.12.5.2, 3.12.5.3	Housing History: Expanded upon Housing History requirements, added new sections for Mortgages Reporting on Credit Report / Mortgages Not Reporting on Credit Report / Rental Verification
3.14.8	Income - Written VOE: Added new doc type.
3.14.9	Desktop Underwriting (DU) and Loan Prospector (LPA): Clarified when AUS findings are acceptable
3.15.1.1	Appraisal Requirements - Primary Valuation: Clarified that AVM may not be more than 90 days old at closing (date the Note is signed)
3.15.1.3	Appraisal Review Products - Two AVMs: If the second AVM does not support the primary AVM within 10%, the file must include either a BPO, exterior-only appraisal, or full appraisal.
Chapter 4 - Home Equity Line of Credit (HELOC)	
	Seller is responsible for originating loans that comply with all applicable state laws
4.3	General Requirements: Reduced minimum Initial Advance to 50% of total line amount, clarified that prepaid interest is not required to be collected at closing
4.4	Loan Amounts: Reduced minimum to \$50,000
4.5	Combined Loan to Value: Updated CLTV definition
4.10.3	Ineligible First Liens: Removed mortgages not reporting on credit report
4.14.3	Escrows - Impound Accounts: Escrows are not permitted on second lien programs
4.15.5.2	Housing History: Expanded upon criteria for mortgages not reporting on credit report
4.18.1.1	Appraisal Requirements - Primary Valuation: Clarified that AVM may not be more than 90 days old at closing (date the Note is signed)
4.19.1	Eligible Properties: Updated to include de minimus PUDs
4.19.12	Condominium Projects: Removed requirement for Verus Project Warranty Certificate.
Chapter 5 - Glossary	
	First Time Homebuyer: Updated definition
Chapter 6 - Forms	
	Appraisal Review Guide: Updated
	Closed Loan Delivery Checklist: Updated
	Collateral Shipping Instructions: Updated
	Condominium Project Questionnaire: Updated
	New Servicer Reference Guide: Updated Address for Borrower Payments, Trailing Documents, Tax Vendor, Wiring Instructions
	Pre-Close Submission Checklist: Updated, to be used for both Non-Delegated and Delegated
	Verus Contact Form - Contacts updated
Chapter 7 - Matrices	

Page #	Summary of Changes - VMC Correspondent Non-Agency Loan/LTV Matrix Dated 04/21/2025
1	Prime Ascent Plus - Standard Doc & Alt Doc
	Removed state overlays
	Rural property allowed with max LTV/CLTV 80% for purchase, 75% for refinance
2-4	Prime Ascent - Standard Doc & Alt Doc
	Combined Prime Ascent and Credit Ascent matrices
	Added 620 and 640 credit score tiers
	Added all doc types to the LTV/CLTV table, manual overlays have been discontinued for doc type
	Added second home and investment to the LTV/CLTV table, manual overlays have been discontinued for occupancy
	Rural property allowed with max LTV/CLTV 80% for purchase, 75% for refinance
	Standard Doc: Added AUS Findings for income doc relief
	P&L Statement: Max 1x30x12 housing, min 36 months credit event seasoning
	WVOE: Max 1x30x12 housing, min 36 months credit event seasoning
	Asset Utilization: Max 1x30x12 housing, min 36 months credit event seasoning
	Reserves: LTV < 80% 3 months PITIA, LTV 80.01 to 85% 6 months PITIA
	DTI up to 55%: Updated reserves to 6 months, added min credit score 660
N/A	Credit Ascent - Standard & Alt Doc
	Credit Ascent matrix has been discontinued
5	ITIN - Standard & Alt Doc
	Added new program, refer to matrix for details
6-8	Investor Solutions - DSCR
	Rural property allowed with max LTV/CLTV 75% for purchase, 70% for refinance
	First Time Investor: Updated first time investor definition, updated restrictions including minimum credit score 700, minimum DSCR > 1.00, 1-unit only
	State Eligibility: IL and NY ineligible for 2-4 Unit
	Acreage: Maximum increased from 2 acres to 5 acres
	DSCR - Long Term Rental Documentation: Clarified that monthly gross rent is to be evaluated for each unit individually, updated refinance required documentation
	DSCR - Short Term Rental Documentation: DSCR - Short Term Rental Documentation: Updated the requirements for short-term rental analysis and 1007/1025.
9-10	Investor Solutions - DSCR (5-8 Units or 2-8 Mixed Use)
	State Eligibility: IL and NY are ineligible
	Removed debt yield requirement of 9%
11	Cross Collateral DSCR
	State Eligibility: IL and NY are ineligible for 2-4 Unit
12-13	Foreign National - Investment
	State Eligibility: IL and NY are ineligible for 2-4 Unit
	DSCR - Long Term Rental Documentation: Clarified that monthly gross rent is to be evaluated for each unit individually, updated refinance required documentation
	DSCR - Short Term Rental Documentation: DSCR - Short Term Rental Documentation: Updated the requirements for short-term rental analysis and 1007/1025.
14-16	Closed End Second - Standard & Alt Doc
	Loan Amounts: Minimum loan amount reduced to \$50,000
	Income Requirements: Added Written VOE as a doc type, max CLTV is 80%
	Ineligible First Liens: Removed ineligibility for first liens not reporting on credit report
17-19	Home Equity Line of Credit - Standard & Alt Doc
	General Requirements: Reduced minimum Initial Advance to 50% of total line amount
	Loan Amounts: Reduced minimum to \$50,000
	Ineligible First Liens: Removed ineligibility for first liens not reporting on credit report